

doom. It was illogical to assume that the opportunities for gains have grown at the same rate.

A statistical analysis of the data from the 2003 edition of the *U.S. Offshore Funds Directory* shows that the closure rate of hedge funds has increased from roughly 2 percent per year for funds outstanding during the early 1990s to more than 12 percent of funds outstanding today. Many funds have already failed, and many, many more will fail. Consequently, many of the funds that exist today will not be around 10 years from now.

If You Must Invest in Hedge Funds

If you still believe that hedge funds are a good idea, please stop believing it. If you are compelled to invest in one, take some precautions. Investing in just one hedge fund can be a gamble. You simply cannot predict when a hedge fund's glory days are coming to an end.

Investors who are attracted to hedge funds need to diversify among many of them. The problem is that many funds have high minimums, so it is not possible for small investors to buy several funds at one time. A simple way to solve the diversification problem is with a fund of funds. A fund of funds is a limited partnership that invests in several hedge funds. Typically a fund of funds is diversified across multiple manager styles for added diversification.

The diversification benefit of a fund of funds is a plus, but the major disadvantage is that it adds another layer of annual management fees to the already high cost of the individual funds within the investment. In addition to another layer of management fees, some funds of funds collect a profit incentive on top of the management fee. After adding up all the fees and incentives paid to the individual fund managers and the fees and incentive fees paid to the fund of funds managers, the cost of owning one of these investments can easily eat up 50 percent of the profits—assuming there are profits.

The high cost of hedge fund participation, the lack of diversification ability, and poor performance consistency puts hedge funds in an investment category that this author does not consider appropriate for most individual investors. If you are interested in hedge funds, there are several easy-to-understand books available that will help, including *All About*